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Compliance Dispute Process

Follow

This document will provide the US Merchandising suppliers an overview of The Home Depot Compliance dispute process.

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Overview of Dispute Process

As part of our overall compliance program, The Home Depot provides our suppliers the opportunity to challenge financial offset charges incurred from compliance violations through a formal Dispute process. The below article provides a thorough overview of the Home Depot Dispute Process.

If suppliers wish to dispute a compliance fine, they are required to submit a dispute through the Supplier Performance Management (SPM) tool. Once a supplier successfully submits a dispute, the Compliance team will provide their decision to approve or deny the dispute violation(s) within the following fiscal month.

Once the approvals/ denials are made, they will be available on the Supplier Performance Management (SPM) tool. If a dispute is denied, there will be a reason code and comment from the Compliance team. All approved disputes will be used to recalculate metric performance and determine the final monthly financial offset.

If the supplier is subject to a financial offset, the final offset debit will be applied to the supplier's account after the dispute period has closed. If a financial offset is assessed, it will be processed on the supplier's next payment.

All offsets are calculated for each Merchandising Vendor (MVNDR#). Offsets are applied to the Payable Number (PVNDR#).

Supplier Expectations

Suppliers are responsible for reviewing their compliance performance and any applicable financial offsets on a regular basis in the Supplier Performance

Management (SPM) tool. Financial offsets will only be assessed if a Supplier's performance average for the month is below the threshold for a metric.

If there are violations available for dispute, suppliers must submit disputes during the proper dispute window. The annual Home Depot Compliance Calendar can be found here in Supplier Hub.

If any disputes are approved, the metric performance will be adjusted, and the offset will be lowered or eliminated (offsets are eliminated if the adjusted performance is above the metric threshold).

Dispute Tool

All suppliers are required to utilize the Supplier Performance Management (SPM) tool located in Supplier Hub for disputing disputes for all compliance programs: Rapid Deployment Center (RDC), Direct Fulfilment Center (DFC), Direct to Store (DTS), Transportation, US Dropship, and Data Quality Compliance (DQC).

Click here to access the **Supplier Performance Management (SPM) tool**

- ***Please Note: Access to the SPM tool requires provisioning to your Supplier Hub User ID by your company's designated Partner Guardian. You will receive an error message if you do not have access.***
  - If you do not have access, contact your Partner Guardian.
    - Click here for instructions on how to identify your Partner Guardian.
  - **Partner Guardians**: If you are a Partner Guardian and do not have this tool in your company's Partner Profile, submit a support ticket with your request: https://thdsupport.homedepot.com
    - Once your company has access to the tool, please proceed to provisioning it to your appropriate company user(s).

Click here for training on the Supplier Performance Management tool (SPM) tool

Tips for Submitting a Successful Dispute

- Keep up to date on any compliance performance violations by visiting the Supplier Performance (SPM) tool located in the Supplier Hub based on the scheduled compliance monthly cadence.
  - *Last month's performance will be listed in the current month.*
    - Click here to access the 2025 Compliance Calendar for reference.
- Review the Disputes Matrix for details on Dispute Reason Codes for each compliance violation, and their required supporting documents.
- Determine the accurate reason for your dispute and select the appropriate "Dispute Reason Code" from the dropdown list in the Supplier Performance Management (SPM) tool.
- Submit **ALL** disputes and their supporting documents via the Supplier Performance Management (SPM) tool.
  - Ensure your supporting documentation is concise and easy to follow by highlighting or circling critical information. Lengthy or unclear dispute documentation can delay the dispute review process.
- If you have more than one MVendor number that is used for PO creation, each MVendor number with violation(s) will be listed under the PVendor section in the Supplier Performance Management (SPM) tool. Suppliers MUST check if there are violations for each MVendor number and each metric.
- Review sales forecast and events with your IPR team on a regular basis.
- Notify Merchant, IPR and Procurement of any SKU Status changes, inventory challenges or constraints within 24 hours of PO receipt that will prevent you from meeting planned demand.
  - Email is the recommended form of communication for this process and can be used as your documentation. Each PO # and SKU must be included in the email.

Dispute Methodology

The following will provide a recap of the Dispute methodology:

Supplier Dispute Process:

- Timing:
  - Dispute period begins every 2nd Wednesday of the fiscal month for suppliers
  - Deadline to submit dispute is the 2nd Tuesday of the following month
  - A dispute made by supplier after the end of the dispute period will be denied
- Requirements:
  - Suppliers must use the Supplier Performance Management (SPM) tool
  - Disputes must be submitted before close of business on the last day of dispute period

THD Review Process:

- Timing:
  - THD compliance dispute review period lasts one month and begins at conclusion of dispute period
  - THD compliance team will follow up with a final decision (approval or denial)
- Requirements:
  - Suppliers will see if dispute is approved or denied by logging into the Supplier Performance Management (SPM) Tool
  - If dispute is approved, metrics will be recalculated, and the final offset is submitted and reflected in the Supplier Performance Management (SPM) tool

Refer to the Dispute Calendar for more information about the above process.

Violation/Offset Adjustment:

When a dispute is approved by the Compliance team, the offset is recalculated, and the updated balance will be reflected in the Supplier Performance Management (SPM) tool.

On-Time example:

- ✓ Dispute is approved
- On-Time % is recalculated

OT% Before Dispute	Offset Before Dispute	OT% After Dispute	Offset After Dispute
93.2%	$180	94.5%	$168

- Supplier **still under** threshold (95.0%)
- **Chargeback amount is updated to reflect new balance of $168**

Fill Rate example

- ✓ Dispute is approved
- Fill Rate % is recalculated

FR% Before Dispute	Offset Before Dispute	FR% After Dispute	Offset After Dispute
98.2%	$20	98.5%	$0

- Supplier is **within** threshold (98.5%)
- **Chargeback amount is nullified, and supplier no longer has deductions for the given month**

Compliance Metrics and Dispute Reason Codes

The following will provide dispute reason codes and documents required when submitting your disputes.

RDC, DFC, and DTS

The below Dispute Matrix will detail each dispute reason and the required documentation for each RDC, DFC, and DTS metric dispute. Please review these carefully as only the required document(s) listed will be reviewed and result in an approved dispute.

Program	Channels	Metric	Dispute Reason Code	When to Use	Required Dispute Documentation	Dispute Document Details
Distribution	RDC/DFC	ASN Timeliness/TMS Utilization	Correct TMS Shipment ID populated in Ref*CN segment of the ASN	Shipment ID in compliance data details is inaccurate	Screenshot of TMS or Vendor PlanEx	TMS or Vendor PlanEX screenshot Must include: • PO Number • Destination • Shipment ID
					AND	
					Screenshot of ASN 856 Ref*CN segment	ASN (856) Screenshot must include: • PO Number • Shipment ID • Ref*CN segment
			TMS Shipment ID changed by THD	Instructed to change Shipment ID by THD	Email OR Ticket Communication	Email/Ticket must include: • PO Number • Original Shipment ID • 'New Shipment ID

Program	Channels	Metric	Dispute Reason Code	When to Use	Required Dispute Documentation	Dispute Document Details
Distribution	RDC/DFC	ASN Timeliness/Missing ASN/Late ASN	ASN Sent On-Time	ASN was not missing or late. ASN transmitted prior to trailer check-in	Screenshot of 856 (ASN)	856 (ASN) screenshot must include: • PO Number • Shipping ID • Edi Transmission Date/Timestamp
		Missing ASN	PO-Cancelled	Errors within Order	Email OR Ticket Communication	Email must iclude: • PO/SKU(s) impacted • Fiscal Month and Year of cancellation • IPR Analyst acknowledment PO cancelled

Program	Channels	Metric	Dispute Reason Code	When to Use	Required Dispute Documentation	Dispute Document Details
Distribution	RDC/DFC	On Time (Collect)	Order Shipment On-Time	THD asked supplier to ship after the estimated ship date on the PO	Email OR Ticket Communication	Ship after Estimated Ship by Date Email or Ticket must include: • PO/SKU(s) impacted • THD instructed supplier ship after the estimated ship date
		On Time (Collect/Prepaid)	Building Closures	supplier is closed for Holiday/Weather/Inventory outside of THD allowance	Email OR Ticket Communication	Email or Ticket must include: • Closure dates • HD acknowledged closures prior to closure dates
		On-Time (Collect)	Inaccurate V-Code status	V-Code was disputed but was not systematically changed by THD (RDC SYNC orders only)	Email OR Ticket Communication	Email or ticket must include: • PO/TMS Shipment ID impacted • HD Transportation acknowledged incorrect code was used
		On Time (Prepaid)	Order Delivered On Time	Order delivery to DC/Store was delayed by THD	Proof of Delivery	Document must include: • PO number • PO date • Shipment destination • Delivery date

Program	Channels	Metric	Dispute Reason Code	When to Use	Required Dispute Documentation	Dispute Document Details
Distribution	RDC/DFC	Fill Rate	Inaccurate SKU Status	THD ordered inactive SKU and supplier did not ship	Email OR Ticket Communication	Email must include: • SKU(s) required maintenance • Merchant, Merchant Planner, or IPR Analyst acknowledgement
			Unexpected Spike Demand	Spike order quantity, no advance notice provided by THD	Email OR Ticket Communication	Email must include: • PO/SKU(s) impacted • Timing of the spike,identified through email dates or timeframes discussed in the email • A clear outline and expectation of the circumstances that led to the increase in orders
			PO/SKU Cancelled	IPR cut PO in error OR IPR cancelled as "Supplier No Stock" in error	Email OR Ticket Communication	Email must iclude: • PO/SKU(s) impacted • Fiscal Month and Year of cancellation • IPR Analyst acknowledment PO/SKU cut in error or cancelled in error
			Incorrect Pack Size	Shipped full quantities based on PO. However, THD order shows quantity not equal to pack size	Email OR Ticket Communication	Email must include: • PO/SKU(s) impacted • Fiscal Month and Year of agreed different pack size • IPR Analyst acknowledgement
			Order Shipped Complete	Shipped full quantities based on PO	Shipped SKU details on any of the below: • Packing List • Bill of Lading • Proof of Delivery	Document must include: • PO number • PO date • Shipment destination • Home Depot SKU numbers • # of units shipped in eaches (not case quantities)

Transportation

The below Dispute Matrix will detail each dispute reason and the required documentation for each Transportation metric dispute. Please review these carefully as only the required document(s) listed will be reviewed and result in an approved dispute.

Program	Channels	Metric	Dispute Reason Code	When to Use	Required Dispute Documentation	Dispute Document Details
Transportation	RDC/DFC/DTS	Routing Guide Collect/Prepaid	Exception granted by THD	THD approved to use a different carrier	Email OR Ticket Communication	Email must include: •Effective Date Range •Acceptable Carrier(s) to use
			Instructed to utilize incorrect LTL carrier	THD associate directed supplier to use the wrong LTL carrier	Email OR Ticket Communication	Email must include: •PO impacted •Ship Origin •Destination •Carrier to be used
			Shipped using Correct Carrier	Designated carrier utilized as per Routing Guide or TMS or Vendor PlanEx	Bill of Lading OR Screenshot of TMS or Vendor PlanEx	BOL must include: •PO number •Origin •Destination •Freight Terms (Collect vs Prepaid) OR TMS screenshot must include: •PO Number •Shipment ID •Carrier directed to utilize

Program	Channels	Metric	Dispute Reason Code	When to Use	Required Dispute Documentation	Dispute Document Details
Transportation	RDC/DFC/DTS	Multiple Bill of Lading	Advised by THD personnel to send more than one BOL	Where applicable	Documentation from THD personnel	Must include: PO number, Origin and Destination

Program	Channels	Metric	Dispute Reason Code	When to Use	Required Dispute Documentation	Dispute Document Details
Transportation	RDC/DFC/DTS	Parcel PO	• Ref1 and Ref2 fields populated correctly • Supplier Performance Management tool does not reflect characters used	Where applicable	Copy of Label and UPS Manifest	Must include: Tracking Number and Ref1 and Ref2 fields
			• PO Number is not 8 or 10 digits/Not shipped to store (ie: YOW, NonMerch, or Rithum)	Where applicable	Copy of PO	Must include: PO Number and Destination
			• Not my ship origin/PO	Where applicable	Confirmation of Vendor origins and tracking numbers	Must include: Origin, examples of tracking numbers for shipments from vendor origin

Fluid Label Compliance

The fluid label compliance program **does not** include a formal dispute process. If a supplier believes a charge is inaccurate , please submit a support ticket.

US Dropship

The below Dispute Matrix will detail each dispute reason and the required documentation for each US Dropship metric dispute. Please review these carefully as only the required document(s) listed will be reviewed and result in an approved dispute.

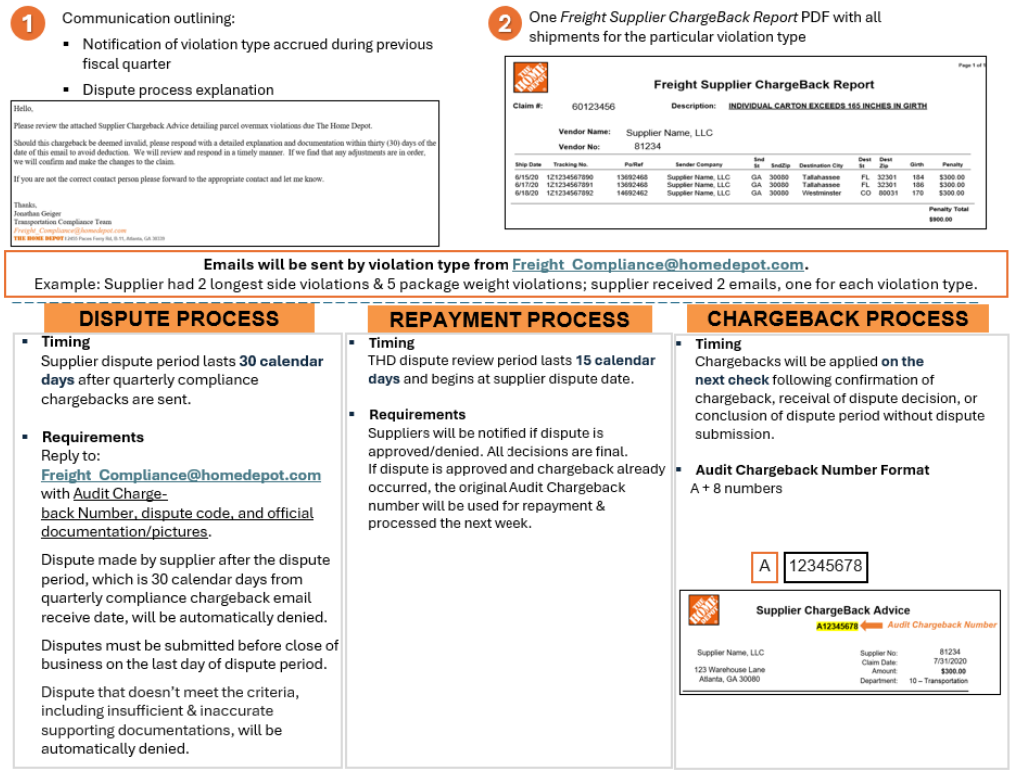
Program	Metric	Dispute Reason Code	When to Use	Required Supporting Documentation
US Dropship	On Time	Customer Request Delay	Customer requests supplier to delay shipment (e.g., construction delay, scheduled delivery)	THD approval to your customer request delay submission (see Dropship Supplier Handbook)
		Carrier Inclement Weather/Natural Disaster	Carrier cannot perform pickup due to inclement weather / natural disaster (e.g., avalanche, heavy snow)	Missed Pickup Form (LTL or Parcel) submitted by 1 business day after Expected Ship Date (attach confirmation of submission) OR Carrier communication confirming cannot pickup
		Carrier Performance Issue	Shipment was ready on or before expected ship date and pickup scheduled with advance notice (~4hr minimum for Parcel, ~24hr minimum for LTL), but carrier picked up late	Missed Pickup Form (LTL or Parcel) submitted by 1 business day after Expected Ship Date (attach confirmation of submission) OR Carrier communication confirming cannot pickup
		Invalid Customer Address	Carrier says customer address is invalid and will not perform pickup	Carrier communication confirming cannot pickup
		Customer Unresponsive Custom Item	Customer unresponsive to request for required information	Email communication to customer or dropship ticket requesting alternate customer contact info
		Force Majeure (OT5)	Any act of God or a public enemy or terrorist, act of any military, civil or regulatory authority, change in any law or regulation, fire, flood, earthquake, storm or other like event, disruption or outage of communications, power or other utility, labor problem, unavailability of supplies, *whose limitations could not have been prevented by the impacted party by taking reasonable steps in mitigation.*	Proof of Official Company Communication
		New Vendor	New Supplier Adjustment (60-day grace period)	Screenshot of first order in Rithum

Program	Metric	Dispute Reason Code	When to Use	Required Supporting Documentation
US Dropship	Fill Rate	Fraud	THD has determined customer is fraudulent	Email communication from THD requesting cancellation
		Force Majeure (FR3)	Any act of God or a public enemy or terrorist, act of any military, civil or regulatory authority, change in any law or regulation, fire, flood, earthquake, storm or other like event, disruption or outage of communications, power or other utility, labor problem, unavailability of supplies, *whose limitations could not have been prevented by the impacted party by taking reasonable steps in mitigation.*	Proof of Official Company Communication
		New Vendor	New Supplier Adjustment (60-day grace period)	Screenshot of first order in Rithum

The US Dropship Overmax and US Dropship LTL Routing Guide programs do not follow the previous dispute process and requirements. Their dispute processes are outlined below:

US Dropship Overmax Chargeback & Dispute Process

Suppliers will receive quarterly compliance chargebacks by the 6th week of each fiscal quarter that includes the following:



US Dropship LTL Routing Guide Dispute Process

A dispute is a request to void a chargeback from the LTL Routing Guide Compliance Program. Suppliers will have the opportunity to dispute for one of the approved dispute types, and they will be approved or denied with one of the following dispute review codes.

US Dropship LTL Dispute Review Types

Dispute Review Type	Dispute Review Code		Descriptions
	Approve	Deny	
Proper Documentation	A1	-	Vendor supplied proper and valid documentation
No Documentation	-	D1	No documentation provided
Missing/Inadequate Documentation	-	D2	Missing or Inaccurate documentation in template
Submitted after Dispute Deadline	-	D3	Submitted outside of the dispute period

US Dropship LTL Exception Methodology:

An exception exempts use of the LTL Routing Guide and any related chargebacks for situations where the supplier absolutely cannot follow the LTL Routing Guide assignment.

US Dropship LTL Exception Types:

Exception Type	Description	Required Supporting Documents
Product Type	Carrier cannot handle the product (e.g. dimension limitation, carpet delivery requires pole truck)	• OMSID(s) impacted
		• Carrier communication stating they cannot complete the pickup

Supplier Request Process:

- Timing:
  - Email HD.com_Dropship@homedepot.com as soon as the exception is deemed necessary
- Requirements:
  - Suppliers must provide all required supporting documentation in the initial ticket submission

THD Review Process:

- Timing:

- THD Dropship will review the request internally with the impacted cross-functional teams
- THD Dropship will follow up with a final decision (approval or denial)

- Requirements:
  - All exceptions must be approved by THD Dropship
  - Request that doesn't meet the criteria, including insufficient supporting documentations, will be automatically denied
  - The supplier is not exempt from the LTL RG until the exception request has been approved by the required parties
  - Frequent exception list sweeps will be conducted, and suppliers will be notified if their exception is being removed
  - If suppliers' exception is removed via sweeps, the supplier must submit a new request and receive updated
    approvals to reinstate the exception

Data Quality Compliance (DQC)

The below Dispute Matrix will detail each dispute reason and the required documentation for each Data Quality Compliance metric dispute. Please review these carefully as only the required document(s) listed will be reviewed and result in an approved dispute.

Program	Channels	Metric	Dispute Reason Code	When to Use	Required Dispute Documentation	Dispute Document Details
Data Quality	RDC / DFC / DTS / US Dropship	DQC Specs Digital Images / Supply Chain / Hazmat	Not my Item	Not the vendor's item. This item does not belong in my account or I have requested that it be obsolete	Email communication from IDM including IDM Support Ticket number	Vendor must produce an IDM Support Ticket number stating the OMSID in question, is attached to the incorrect SKU
			Inactive SKU	Vendor's item is not an active SKU. Vendor has previously requested that this item be made obsolete	N/A	N/A
			Item competed within 3 days grace period	Vendor has corrected and completed this item within the allowed grace period	N/A	N/A

DQC Dispute Guidelines

- Data quality items are identified with OMSID numbers and are associated with THD SKU numbers.

- THD offers 3 business days to resolve items (Specs & Digital Images, and Supply Chain) that enter data quality and 10 business days for Hazmat issues.
- The issue must be resolved and removed from Data Quality workstream before it can be disputed.
- Disputes must be submitted no later than the end of the fiscal month that follows the month the infraction was incurred. Disputes submitted after this deadline will not be considered
- In the event an item remains in workstream beyond the grace period, an offset is assessed for each week the item is non-compliant. If items exit within the three-day timeframe there is no violation.
- Items must exit by Tuesday of a fiscal week in order for violations not to be applied for that week.
- Disputes are evaluated for approval or denials. If approved, offsets will be waived or if denied, offsets will remain applied to the payables vendor number.
- Review the DQC metric when submitting disputes. DQC disputes must be submitted via the DQC Dispute Form which is accessible from the DQC section of the Supplier Performance Management (SPM) tool.

DQC Non-Compliance Dispute Matrix Purpose

The Data Quality Dispute Matrix supports the Item Data Management Data Quality Compliance Program Dispute Process. This document defines the allowable disputes for violations associated with the Data Quality Compliance Program. The document should be used in conjunction with the Dispute Form to manage supplier disputes and to assist THD in resolving dispute packages submitted by the supplier.

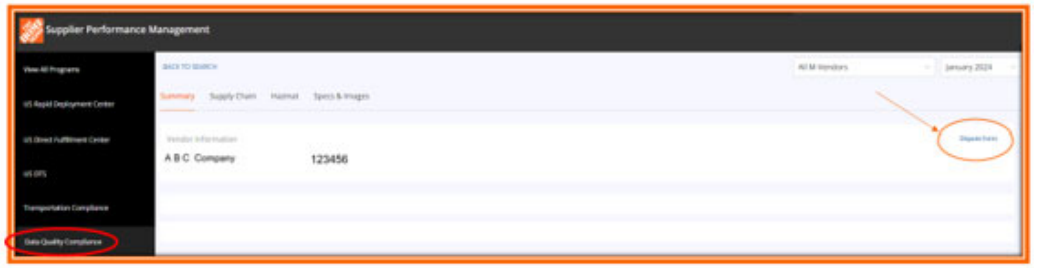
How to Use the DQC Dispute Form

For Data Quality Compliance violations reported within the Dispute Form, the supplier can dispute if they disagree with the violation. If the supplier disagrees

with a reported violation, reference the Non-Compliance Dispute Matrix and do the following:

Access the DQC Dispute Form

The DQC dispute form is accessed via the Supplier Performance Management Tool. Please login to the Supplier Performance Management Tool, click on Data Quality Compliance" in the menu, then select dispute form. See illustration listed below.



Essential Resources to Ensure Compliance

Visit the following documents for additional Compliance information:

- Compliance Program Overview
- Compliance Reporting and Tools
- Compliance Calendar
- Go to Additional Resources

Still Need Support?

Program	Support Area	Contact Information

Rapid Deployment Center (RDC)	Vendor Compliance	Submit Supplier Hub ticket
Direct Fulfillment Center (DFC)		
Direct to Store (DTS)		
Data Quality Compliance (DQC)		
Transportation Compliance		
US Dropship	Online Vendor Strategy and Operations	HD.com_Dropship@homedepot.com
General Contacts	EDI 864 Business Requirements and Emails	EDI Onboarding Form or EDI Support at: (877)741-0036 / Option 1
	B2B Testing and Production	
	IDM	idmaccess@homedepot.com
	Routing Guide Link	http://www.routingguides.com/hd/
	Supplier Hub/Partner Profile	Submit Supplier Hub ticket

	TMS Onboarding - collect suppliers only	TMS_Onboarding@homedepot.com
	TMS PO Processing Issues - collect suppliers only	TMS_T2S@homedepot.com
	Inventory Planning & Replenishment (IPR)	Contact your IPR Analyst
	Lead Time and Vendor Turn Time (VTT)	Contact Your Merchant Planner
	Accounts Payable AKA Procurement to Pay	Submit Supplier Hub ticket
	Shipping Inquires	Contact Your THD Logistics Planner
	DFC Delivery Appointment Request Forms	The Home Depot Routing Guide

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- Compliance Program - Additional Resources
- Merchandise Payables Dispute Process for Invoices
- Supplier Performance Management-SPM Training
- Common Invoice Payment Disputes

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